EXPLORING STRATEGY
9TH EDITION

Strategic Choices
6: Business Strategy



Johnson, Whittington and Scholes, *Exploring Strategy*, 9th Edition, © Pearson Education Limited 2011

Learning outcomes

- Identify *strategic business units* (SBUs) in organisations.
- Assess business strategy in terms of the *generic strategies* of cost leadership, differentiation and focus.
- Identify business strategies suited to *hypercompetitive* conditions.
- Assess the benefits of *cooperation* in business strategy.
- Apply principles of *game theory* to business strategy.

Business strategy

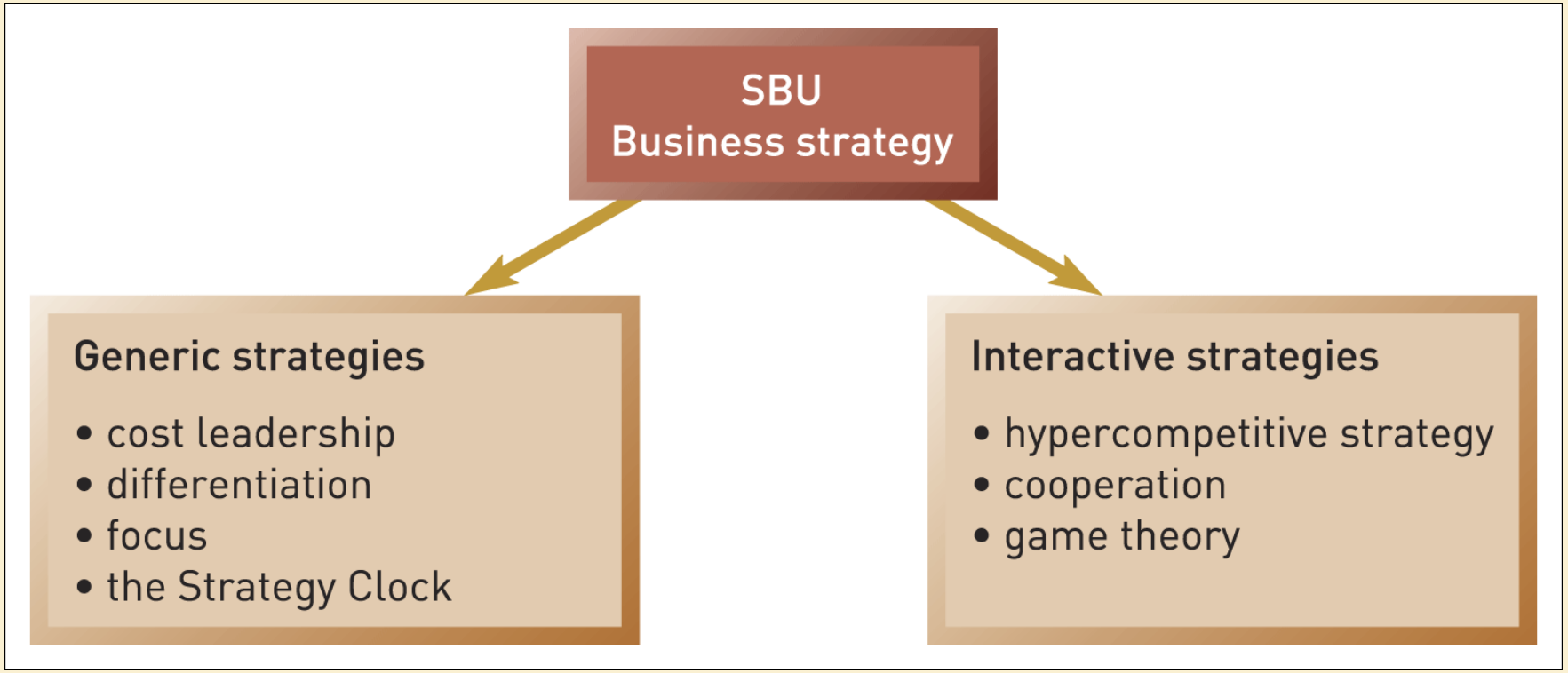


Figure 6.1 Business strategy

Strategic business units (SBUs)



A strategic business unit (SBU) supplies goods or services for a distinct domain of activity.

- A small business has just one SBU.
- A large diversified corporation is made up of multiple businesses (SBUs).
- SBUs can be called ‘divisions’ or ‘profit centres’
- SBUs can be identified by:
  - Market based criteria (similar customers, channels and competitors).
  - Capability based criteria (similar strategic capabilities).

The purpose of SBUs

- *To decentralise initiative* to smaller units within the corporation so SBUs can pursue their own distinct strategy.
- To allow large corporations to *vary their business strategies* according to the different needs of external markets.
- *To encourage accountability* – each SBU can be held responsible for its own costs, revenues and profits.

Generic strategies



- **Porter** introduced the term ***'Generic Strategy'*** to mean basic types of competitive strategy that hold across many kinds of business situations.
- ***Competitive strategy*** is concerned with how a strategic business unit achieves competitive advantage in its domain of activity.
- ***Competitive advantage*** is about how an SBU creates value for its users both greater than the costs of supplying them and superior to that of rival SBUs.

Three generic strategies

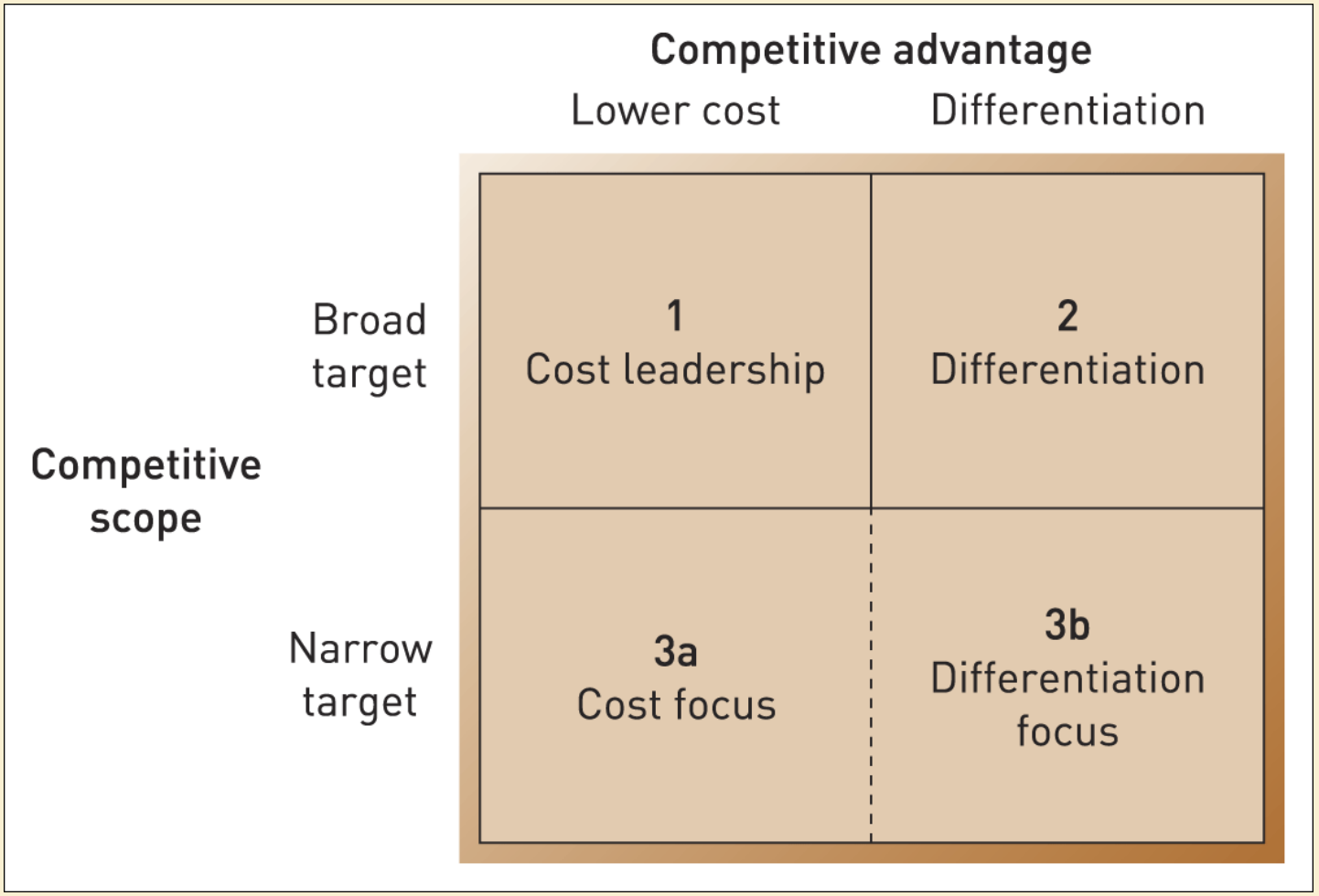


Figure 6.2 Three generic strategies

Source: Adapted with the permission of The Free Press, a Division of Simon & Schuster, Inc., from *Competitive Advantage: Creating and Sustaining Superior Performance* by Michael E. Porter. Copyright © 1985, 1998 by Michael E. Porter. All rights reserved

Cost-leadership

Cost-leadership strategy involves becoming the lowest-cost organisation in a domain of activity.

Four key cost drivers that can help deliver cost leadership:

- *Lower input costs.*
- *Economies of scale.*
- *Experience.*
- *Product process and design.*

Economies of scale and the experience curve

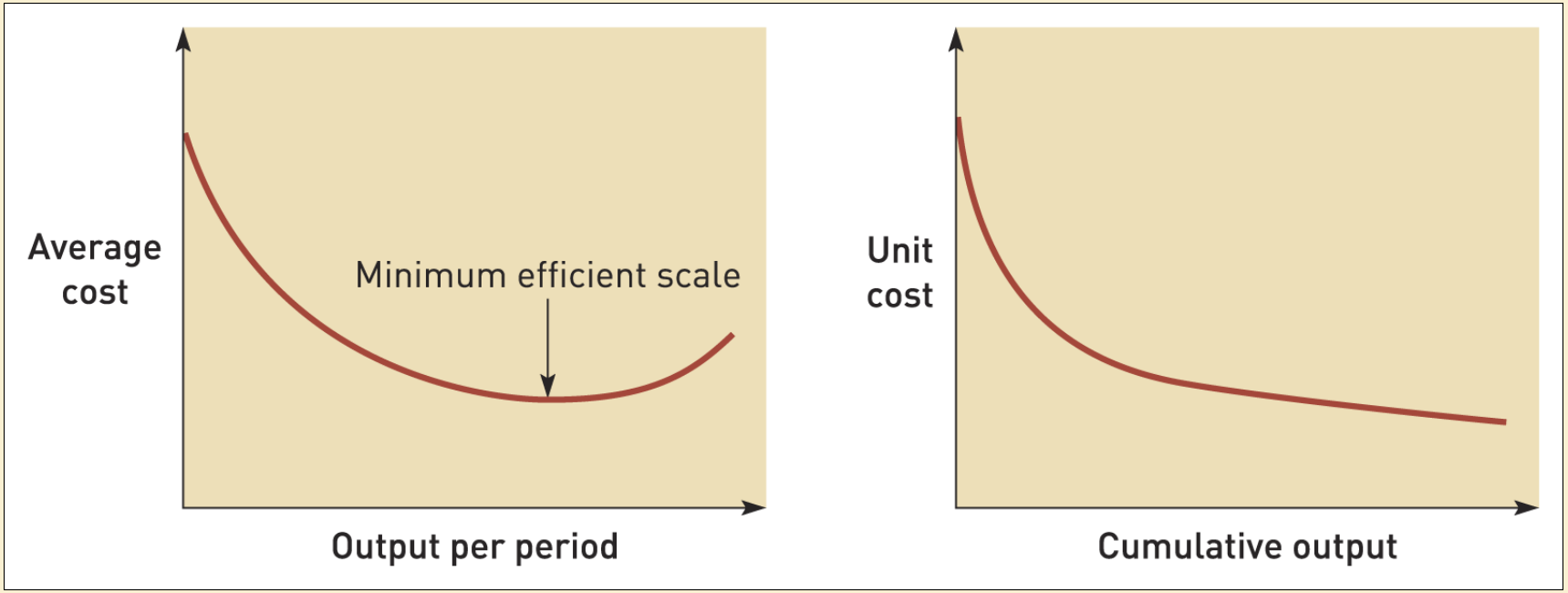


Figure 6.3 Economies of scale and the experience curve

Costs, prices and profits for generic strategies

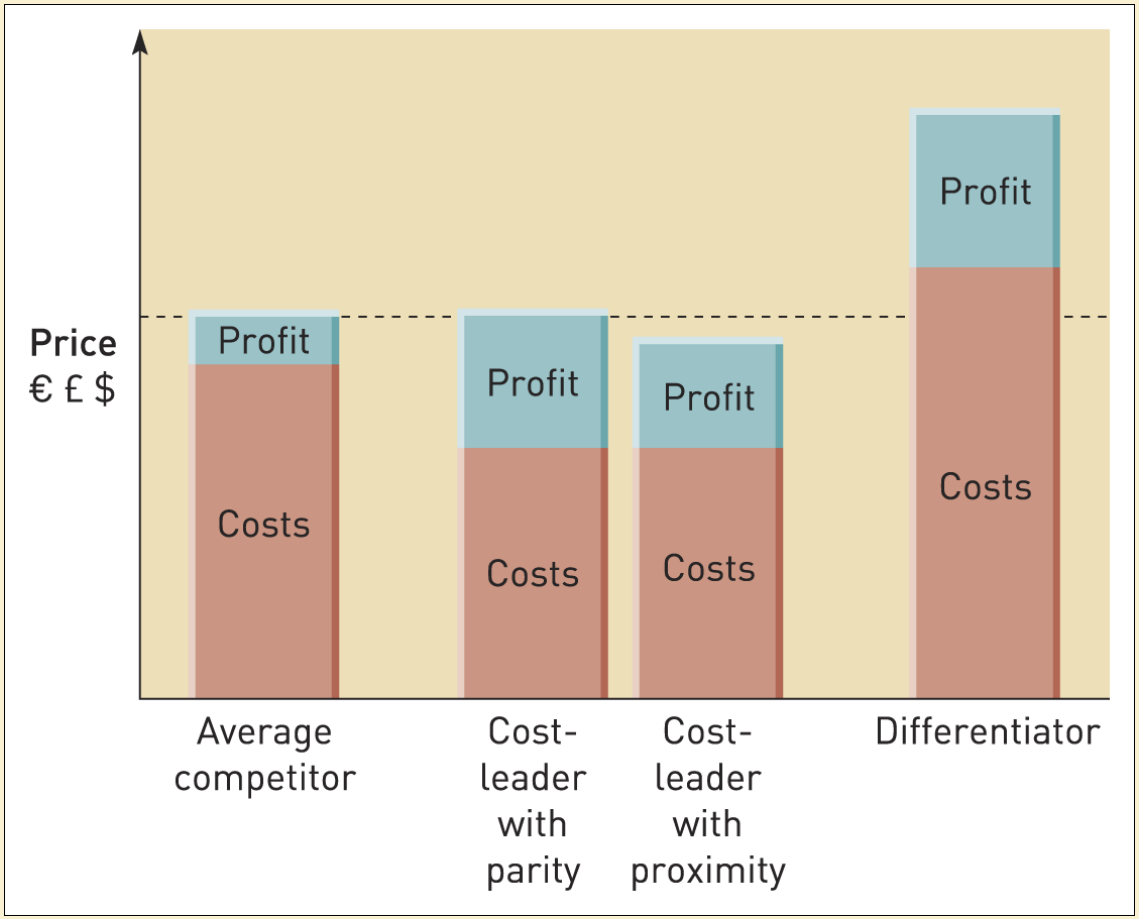


Figure 6.4 Costs, prices and profits for generic strategies

Differentiation strategies

Differentiation involves uniqueness along some dimension that is sufficiently valued by customers to allow a price premium.

Two key issues:

- The *strategic customer* on whose needs the differentiation is based.
- *Key competitors* – who are the rivals and who may *become* a rival.

Differentiation in the US airline industry

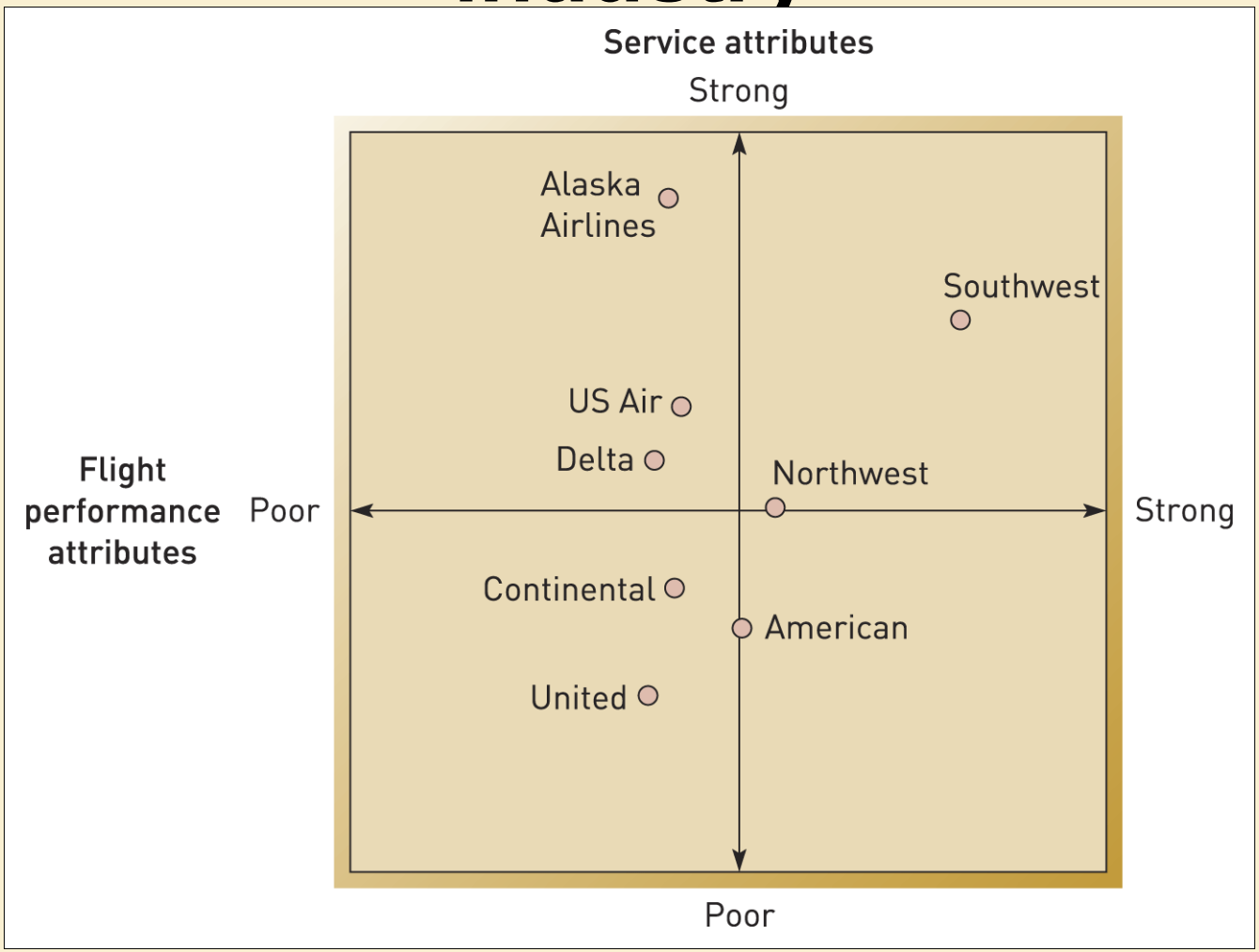


Figure 6.5 Mapping differentiation in the US airline industry

Source: Simplified from Figure 1, in D. Gursoy, M. Chen and H. Kim (2005), 'The US airlines relative positioning', *Tourism Management*, 26, 5, 57–67: p. 62

Focus strategies (1)

A focus strategy targets a narrow segment of domain of an activity and tailors its products or services to the needs of that specific segment to the exclusion of others.

Two types of focus strategy:

- *cost-focus strategy* (e.g. Ryanair).
- *differentiation focus strategy* (e.g. Ecover).

Focus strategies (2)

Successful focus strategies depend on at least one of three key factors:

- *Distinct segment needs.*
- *Distinct segment value chains.*
- *Viable segment economics.*

‘Stuck in the middle’?

Porter’s argues:

- It is best to choose which generic strategy to adopt and then stick rigorously to it.
- Failure to do this leads to a danger of being ‘*stuck in the middle’* i.e. doing no strategy well.
- The argument for pure generic strategies is controversial. Even Porter acknowledges that the strategies can be combined (e.g. if being unique costs nothing).

Combining generic strategies

- A company can create separate strategic business units each pursuing different generic strategies and with different cost structures.
- Technological or managerial innovations where both cost efficiency and quality are improved.
- Competitive failures – if rivals are similarly ‘stuck in the middle’ or if there is no significant competition then ‘middle’ strategies may be OK.

Strategy clock

KEY CONCEPT

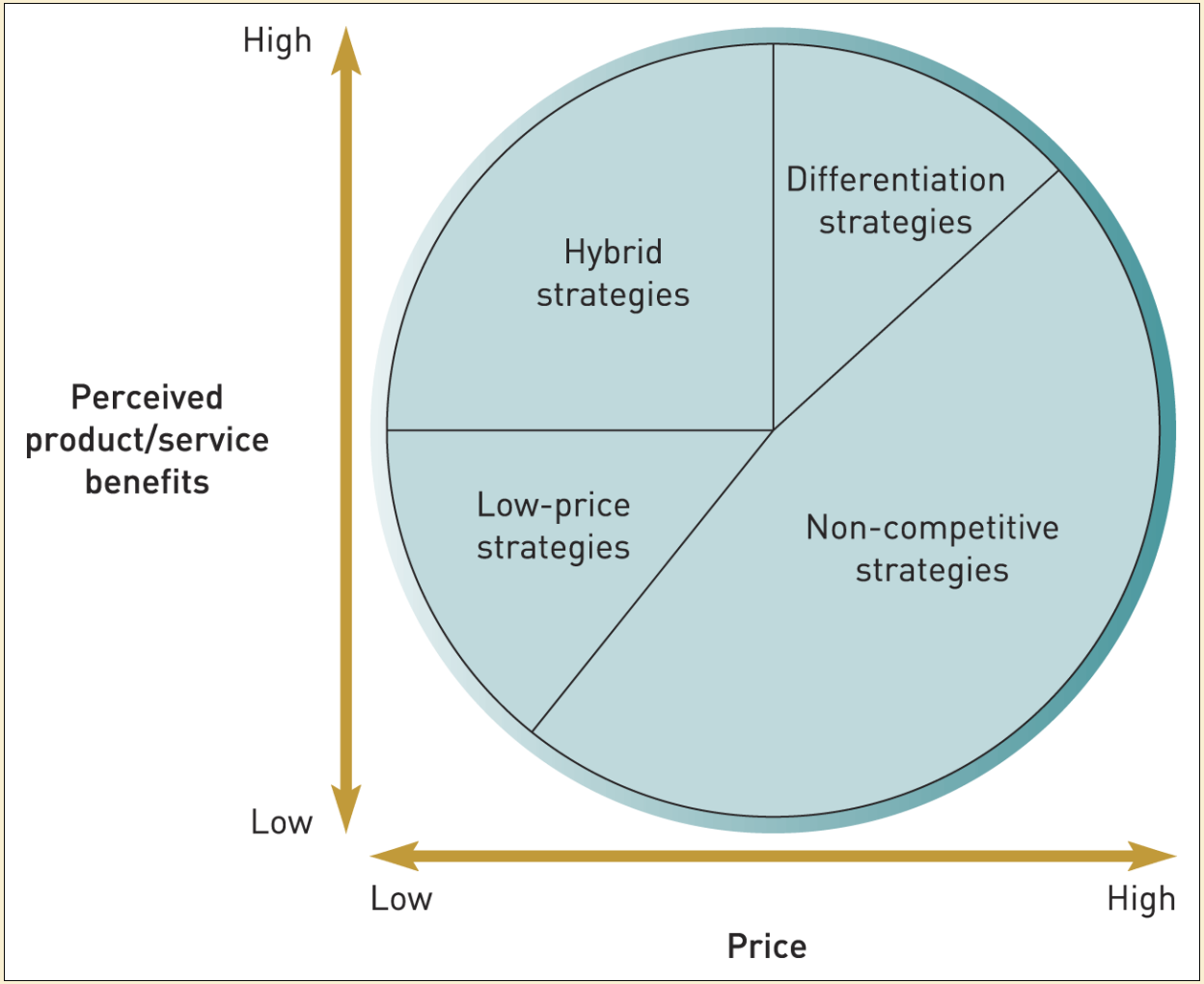


Figure 6.6 The Strategy Clock

Source: Adapted from D. Faulkner and C. Bowman, *The Essence of Competitive Strategy*, Prentice Hall, 1995

Strategy clock - differentiation

- Strategies in this zone seeks to provide products that offer benefits that differ from those offered by competitors.
- A range of alternative strategies from:
  - *differentiation without price premium (12 o'clock) – used to increase market share.*
  - *differentiation with price premium (1 o'clock) – used to increase profit margins.*
  - *focused differentiation (2 o'clock) – used for customers that demand top quality and will pay a big premium.*

Strategy clock – low price

Low price combined with:

- *low perceived product benefits* focusing on price sensitive market segments – *a 'no frills' strategy* typified by low cost airlines like Ryanair.
- *lower price than competitors* while offering similar product benefits – aimed at increasing market share typified by Asda /Walmart in grocery retailing.

Strategy clock - hybrid

- Seeks to simultaneously achieve differentiation and low price relative to competitors.
- Hybrid strategies can be used:
  - *to enter markets and build position quickly.*
  - *as an aggressive attempt to win market share.*
  - *to build volume sales and gain from mass production.*

Strategy clock – non-competitive

- Increased prices without increasing service/product benefits.
- In competitive markets such strategies will be doomed to failure.
- Only feasible where there is strategic ‘lock-in’ or a near monopoly position.

Strategic lock-in

- ***Strategic lock-in*** is where users become dependent on a supplier and are unable to use another supplier without substantial switching costs.
- Lock-in can be achieved in two main ways:
  - *Controlling complementary products or services.* E.g. Cheap razors that only work with one type of blade.
  - *Creating a proprietary industry standard.* E.g. Microsoft with its Windows operating system.

Establishing strategic lock-in

- Size or market dominance
- First-mover dominance
- Self-reinforcing commitment
- Insistence on preservation of position

Hypercompetition

- ***Hypercompetition*** describes markets with continuous disequilibrium and change e.g. popular music or consumer electronics.
- Successful hypercompetition demands *speed and initiative* rather than defensiveness.

Interactive price and quality strategies

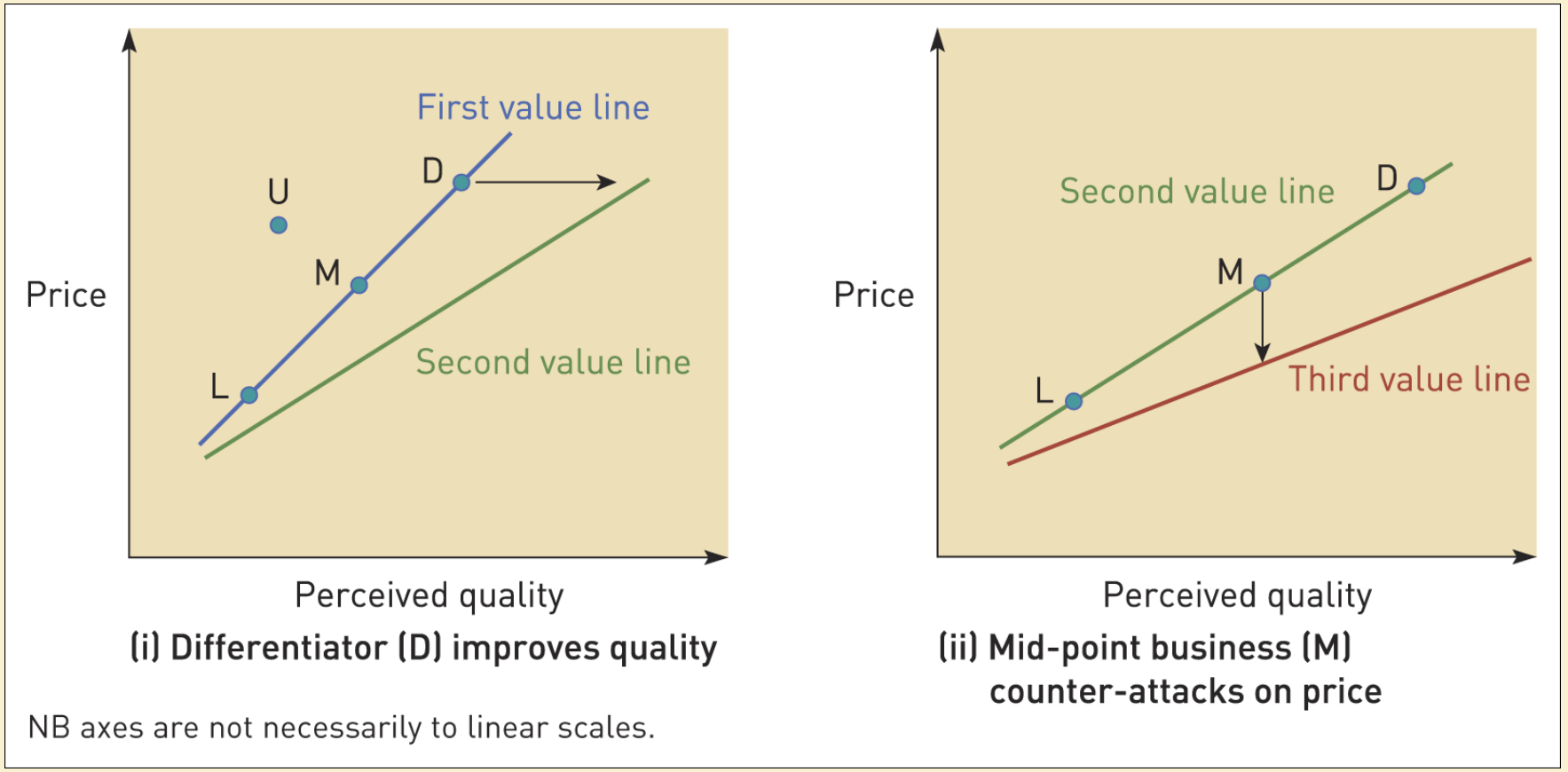


Figure 6.7 Interactive price and quality strategies

Source: Adapted with the permission of The Free Press, a Division of Simon & Schuster, Inc., from *Hypercompetition: Managing the Dynamics of Strategic Manoeuvring* by Richard D'Aveni with Robert Gunther. Copyright © 1994 by Richard D'Aveni. All rights reserved

Interactive strategies in hypercompetition

- Four key principles:
  - *Cannibalise bases of success.*
  - *A series of small moves rather than big moves.*
  - *Be unpredictable.*
  - *Mislead the competition.*

Cooperating with rivals

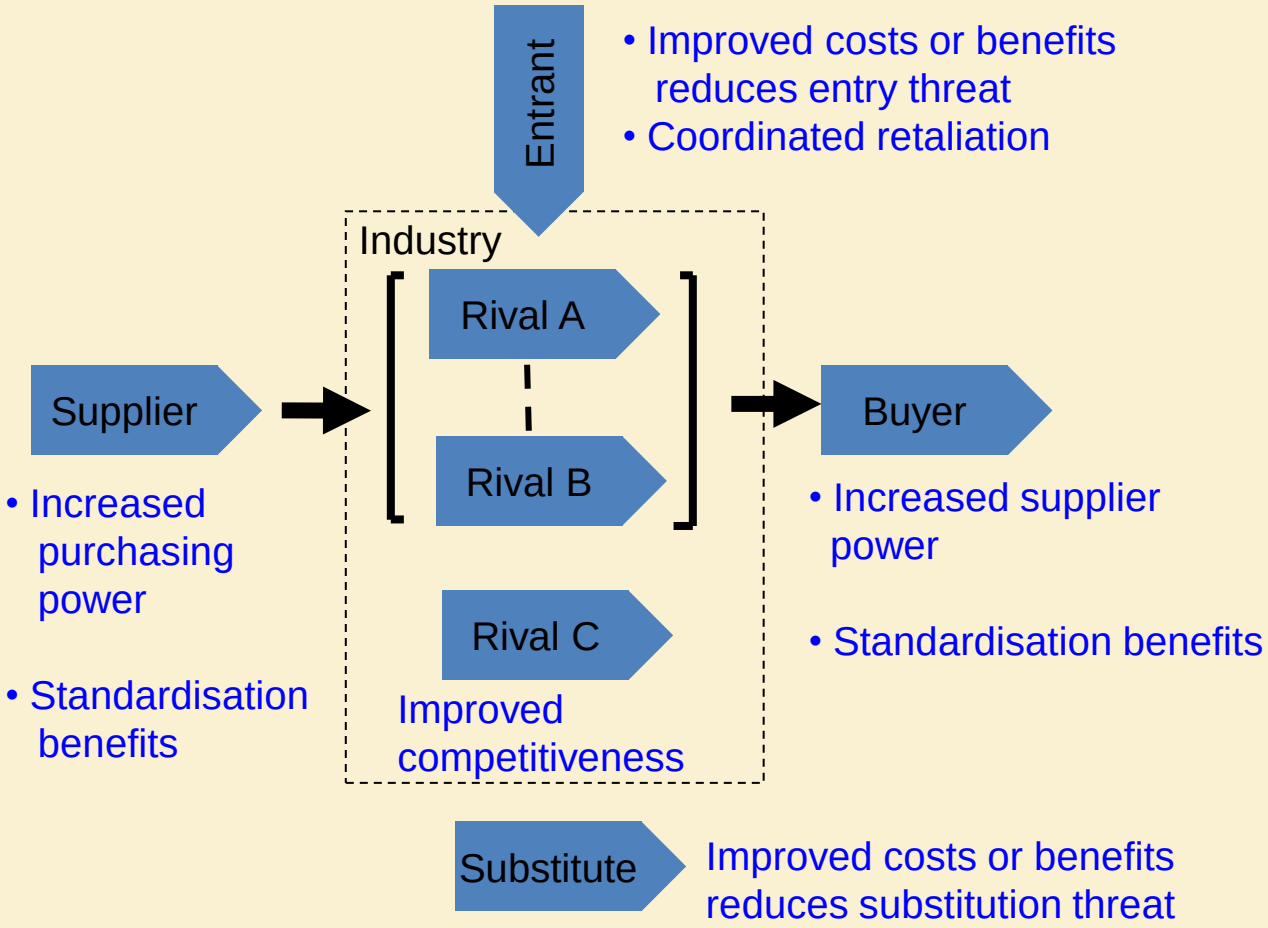


Figure 6.9 Cooperating with rivals

Source: Adapted with the permission of The Free Press, a Division of Simon & Schuster, Inc. from *Competitive Strategy: Techniques for Analyzing Industries and Competitors* by Michael E. Porter. Copyright © 1980, 1998 by The Free Press. All rights reserved

Game theory

Game theory encourages an organisation to consider competitors' likely moves and the implications of these moves for its own strategy.

Prisoner's dilemma

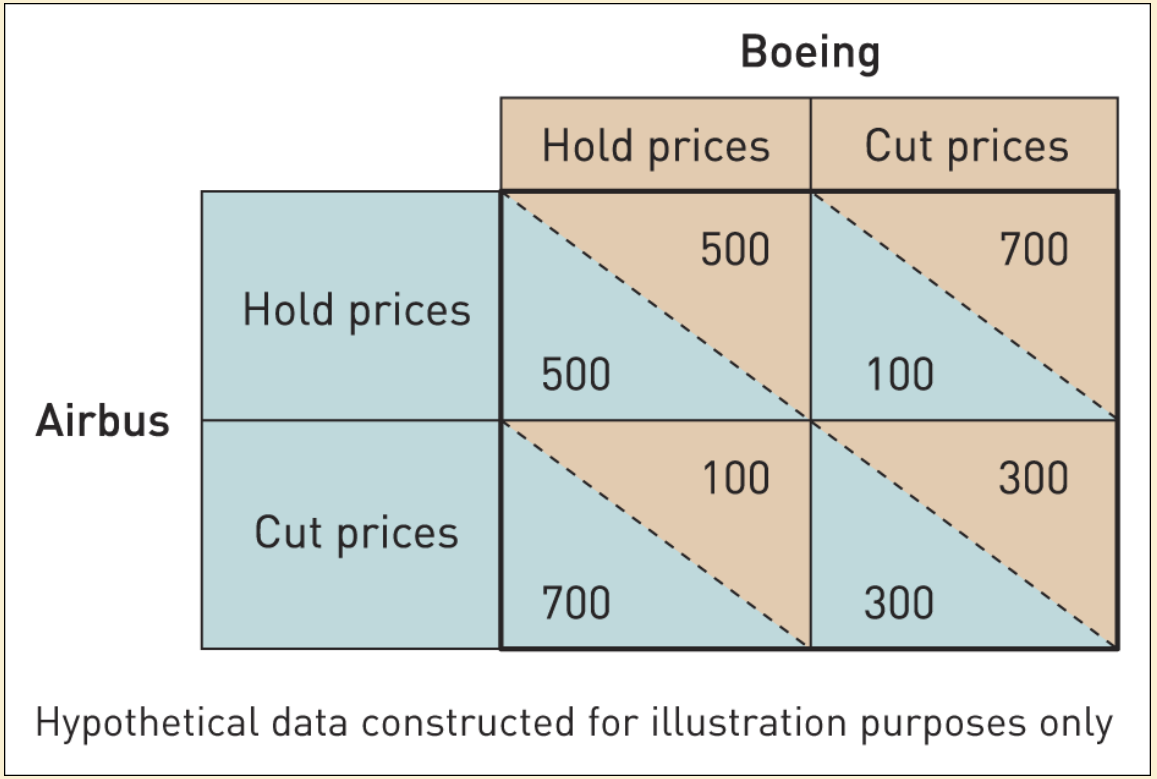


Figure 6.10 Prisoner's dilemma game in aircraft manufacture

Lessons from game theory

- Game theory encourages managers to consider how a ‘game’ can be transformed from ‘lose–lose’ competition to ‘win–win’ cooperation.
- Four principles:
  - *Ensure repetition.*
  - *Signalling.*
  - *Deterrence.*
  - *Commitment.*

Summary (1)

- Business strategy is concerned with seeking *competitive advantage* in markets at the business rather than corporate level.
- Business strategy needs to be considered and defined in terms of *strategic business units (SBUs).*
- Different *generic strategies* can be defined in terms of cost-leadership, differentiation and focus.
- Managers need to consider how business strategies can be *sustained through strategic capabilities* and/or the ability to achieve a 'lock-in' position with buyers.

Summary (2)

- *In hypercompetitive conditions* sustainable competitive advantage is difficult to achieve. Competitors need to be able to cannibalise, make small moves, be unpredictable and mislead their rivals.
- *Cooperative strategies* may offer alternatives to competitive strategies or may run in parallel.
- *Game theory* encourages managers to get in the mind of competitors and think forwards and reason backwards.